



Our Recommendation

STRONG BUY

Company Overview

Market Cap (EUR Mn)	9,130
Share Outstanding (Mn)	169.93
52 Week High (EUR)	25.69
52 Week Low (EUR)	14.15
Daily Turnover (Mn)	13.12
Current Price (EUR)	16.12
Target Price (EUR)	32.33
P/E (LTM)	16.65
ROE (%)	24.13%
Beta	0.8

Value Drivers

Market Undervaluation

Global Brand Portfolio

Strategic Positioning

Robust Finances

Proven Management

Investment Summary

We initiate coverage on **Puig Brands SA** with a **STRONG BUY** recommendation and a **target price of EUR 32.33** based on our comprehensive DCF model and corroborated by relative valuation metrics.

The stock currently trades at EUR 16.12, representing a **compelling upside potential of 100.54%**. Despite recent market underperformance and near-term macroeconomic headwinds affecting luxury discretionary spending, Puig's diversified portfolio of premium brands, strategic geographic positioning, and structural exposure to high-growth beauty segments create a compelling long-term value creation opportunity.

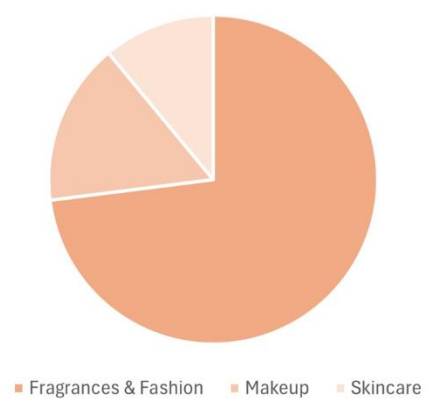
Value Drivers

Our bullish investment thesis is anchored on five key value drivers:

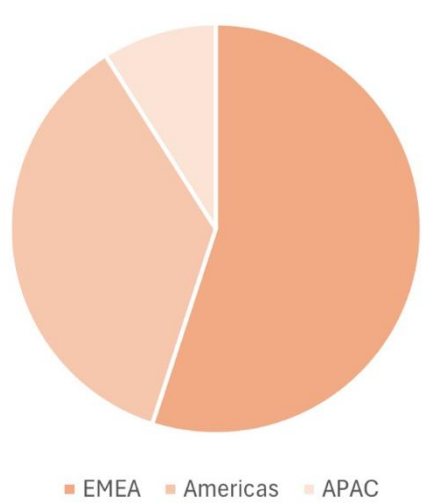
- 1. Substantial Market Undervaluation** Our intrinsic valuation analysis reveals the stock trades at a significant discount to fair value. Our base-case DCF yields EUR32.33 per share versus current EUR16.12, while our comprehensive Monte Carlo simulation across 1,000 iterations demonstrates 100% probability of upside with mean valuation of EUR42.3. The market appears to be overly penalizing near-term headwinds while ignoring robust fundamentals and long-term growth prospects.
- 2. Unparalleled Portfolio of Global Premium Brands** Puig owns and operates some of the world's most recognizable luxury fragrance and beauty brands. These brands command premium pricing, demonstrate remarkable resilience during economic downturns, benefit from strong consumer loyalty, and possess significant untapped geographic expansion potential, particularly in high-growth emerging markets.
- 3. Strategic Positioning in Structural Growth Markets** The company is exceptionally well-positioned to capitalize on multiple structural tailwinds including the premiumization of beauty products, the shift toward clean and sustainable beauty, growing male grooming market, and the digital transformation of beauty retail.
- 4. Robust Financial Profile with Defensive Characteristics** Despite current market skepticism, Puig maintains exemplary financial metrics including ROE of 24.13% (significantly above peer average), healthy operating margins and consistent cash generation. The company's financial resilience provides substantial downside protection while positioning for accelerated growth when market conditions normalize.
- 5. Proven Management Execution and Family Ownership Advantage** The Puig family's continued involvement ensures long-term strategic focus, patient capital allocation, and preservation of brand heritage. Management has demonstrated exceptional execution in integrating acquisitions (notably Charlotte Tilbury), expanding geographically, and navigating challenging market conditions while maintaining profitability and market share.

Business Description

% Revenue by Business Segment



% Revenue by Geography



Historical Background and Evolution

Founded in 1914 by Antonio Puig Castelló in Barcelona, **Puig Brands SA** has evolved from a local Spanish fragrance company into a global powerhouse in luxury fashion, fragrances, and beauty. The company's journey reflects a masterful combination of organic growth, strategic acquisitions, and geographic expansion while maintaining its entrepreneurial family-owned culture. The decision to pursue a public listing was strategically motivated to enhance corporate transparency, provide capital flexibility for international expansion, and access public capital markets while preserving the family's long-term strategic vision and operational control.

The company's transformation accelerated significantly in the 21st century through landmark acquisitions including Penhaligon's (2015), Dries Van Noten (2018), and most notably Charlotte Tilbury (2020), which has become a crown jewel in the portfolio. Each acquisition has been strategically selected to complement existing brand portfolios, expand geographic reach, or capture emerging consumer trends, demonstrating management's sophisticated capital allocation capabilities.

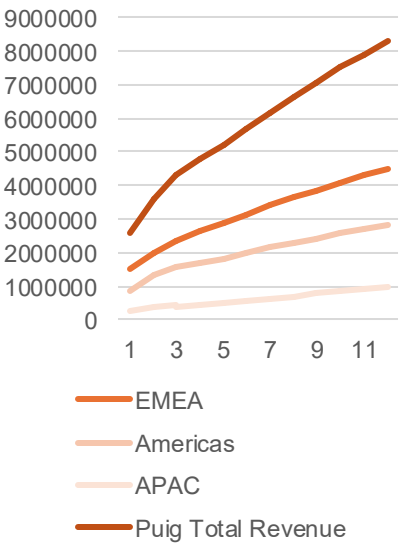
Segment Analysis		
Segment	% of Revenue	Brands
Fragrance & Fashion	~73%	Puig's flagship business, iconic brands like Paco Rabanne, Jean Paul Gaultier, Carolina Herrera, Penhaligon's & L'Artisan Parfumeur.
Makeup	~16%	Puig has established a strong and fast-growing presence with brands like Charlotte Tilbury
Skincare	~11%	Skincare portfolio provides diversification and access to the fast-expanding dermocosmetics market with brands like Uriage & ISDIN

Financial Analysis

Table: Snapshot of Puig's Key Financial Figures

Values in Mn	FY21	FY22	FY23	FY24	FY25E	FY26E
Net Revenues	2,585	3,620	4,304	4,790	5,200	5,683
Dividend Payout Ratio	9.27%	33.04%	38.98%	36.28%	30.00%	30.00%
Capital Employed	4,264	6,097	6,420	7,327	7,647	8,109
Total Equity	1,132	992	1,232	3,741	4,275	4,762
Debt	973	1,839	2,147	1,657	1,442	1,418
Average Capital Employed	N/A	5,181	6,259	6,873	7,487	7,878
Average Total Equity	N/A	1,062	1,112	2,486	4,008	4,518
Average Debt	N/A	1,406	1,993	1,902	1,550	1,430
EBIT	387	493	679	612	812	888
Profitability Ratios						
EBITDA Margin	13.60%	14.82%	16.10%	15.84%	16.45%	16.45%
Net Profit Margin	8.55%	11.04%	10.81%	11.08%	12.13%	12.07%
ROIC		9.52%	10.85%	8.91%	10.85%	11.27%
ROE		37.61%	41.83%	21.34%	15.74%	15.18%
ROA		6.93%	8.81%	7.11%	8.87%	9.10%
Values in Mn	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
Net Revenues	6,160	6,617	7,048	7,502	7,912	8,335
Dividend Payout Ratio	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%
Capital Employed	8,621	9,178	9,776	10,418	11,095	11,811
Total Equity	5,286	5,847	6,442	7,074	7,739	8,438
Debt	1,406	1,403	1,405	1,415	1,427	1,444
Average Capital Employed	8,365	8,900	9,477	10,097	10,757	11,453
Average Total Equity	5,024	5,566	6,144	6,758	7,406	8,088
Average Debt	1,412	1,404	1,404	1,410	1,421	1,435
EBIT	962	1,034	1,101	1,172	1,236	1,302
Profitability Ratios						
EBITDA Margin	16.45%	16.45%	16.45%	16.45%	16.45%	16.45%
Net Profit Margin	12.03%	11.99%	11.96%	11.94%	11.92%	11.90%
ROIC	11.51%	11.62%	11.62%	11.61%	11.49%	11.37%
ROE	14.75%	14.25%	13.72%	13.25%	12.73%	12.27%
ROA	9.25%	9.31%	9.32%	9.31%	9.23%	9.15%

Revenue by Geography



Revenue Growth Trajectory

Puig has delivered a strong revenue growth trajectory in recent years, and our forecasts indicate sustained expansion across geographies through FY32. From FY21 to FY24, revenues grew at double-digit rates (40.0% in FY22, 18.9% in FY23, and 11.3% in FY24), reflecting the scaling of Charlotte Tilbury and robust momentum in fragrances. Beginning FY25, growth moderates into a steady high-single-digit cadence, averaging ~7% CAGR through FY32.

- **EMEA:** Anchors over half of revenues (~55% share in FY24). Growth rates normalize to high single digits in FY25–26 (10% and 9%), easing to ~5% by FY32 as the region matures. Despite deceleration, absolute revenue contribution expands from ~€26.2bn in FY24 to ~€42.8bn by FY31.
- **Americas:** Represents ~36% of revenue. Growth sustains at mid-single-digits (6–8%) over FY25–28, tapering modestly thereafter. Revenue rises from ~€17.1bn in FY24 to ~€27.0bn by FY31, supported by Charlotte Tilbury's scale and continued fragrance demand.
- **APAC:** The smallest but fastest-growing geography (~10% share in FY24). Growth accelerates into double digits (10–12% YoY in FY25–28) before moderating to ~9% by FY32. Revenues nearly double from ~€4.6bn in FY24 to ~€9.3bn by FY31, highlighting underpenetrated upside.

Valuation

Input	Rate	Source/Comments
Risk-free Rate	4.30%	Germany 10-Year Bund + Spain default spread
Beta	0.80	Bottom-up beta; revenue-weighted
Mature Market Risk Premium	5.27%	S&P 500/Market data (Damodaran)
EMEA Country Risk Premium	1.69%	Regional risk premium (Damodaran)
Americas Country Risk Premium	1.28%	Regional risk premium
APAC Country Risk Premium	1.61%	Regional risk premium
Cost of Equity	11.08%	Modified CAPM incorporating all premiums
Cost of Debt	5.85%	Risk-free Rate + Baa1 Default Spread
Tax Rate	25%	Statutory Spain tax
Debt	1,657,104	Current market value (EUR)
Equity	3,740,673	Current market value (EUR)
D/E Ratio	0.44	Calculated from inputs
WACC	9.03%	Weighted average, adjusted for tax

Table: FCFF Summary

Input (in Mn)	Value
NPV of FCFF	59,12,939.22
PV of Terminal Value	45,50,005.45
Cash & Cash Equivalents (FY24)	8,82,646
Total Debt	16,57,104
Total Equity Value	51,38,481.22
Outstanding Shares (in million)	1,69,930.00
Implied Share Price (31 Dec 2024)	30.24
Implied Share Price (20 Aug 2025)	32.33
Market Price (20 Aug 2025)	16.12
Stock Undervalued By	100.54%

Table: Monte Carlo

Statistic	Value
Number of Simulations	1,000
Mean Value per Share	42.67
Standard Deviation (SD)	7.01
Maximum Value per Share	88.76
Minimum Value per Share	30.37
Proportion Upside	1.00

Valuation – DCF Valuation

Our DCF valuation model employs the Free Cash Flow to the Firm (FCFF) methodology to arrive at the intrinsic equity value of the company after making all the necessary adjustments. This model befits Puig’s strategy and company profile. We analyze Puig’s historical figures and value from 2021 onwards, provide an explicit forecast from 2025-2032.

WACC

We estimate a WACC of **9.03%** for the company. The cost of equity is calculated using a modified CAPM formula, which incorporates country-specific risk premiums for EMEA, Americas, and APAC, alongside the mature market risk premium. The bottom-up beta of 0.80 is derived using comparable business segments and weighted by regional revenue for enhanced risk accuracy. The risk-free rate used is the adjusted yield on Germany’s 10 Year Bund, plus default spread relevant to Spain. The cost of debt is based on Moody’s Baa1 rating, using the associated adjusted default spread added to the risk-free rate, and applies the statutory tax rate of 25%. All capital structure inputs are current and reflect market values.

Terminal Growth

For the terminal growth rate, we have adopted the long-term risk-free rate as a proxy for sustainable growth beyond the explicit forecast horizon. Specifically, our model fits the long-term growth to be less than GDP growth (which is assumed as constant for perpetuity), resulting in a terminal growth rate of 5.48%. This assumption aligns with long-term economic outlooks and reflects a prudent approach for a mature business portfolio, avoiding the risk of overestimating future expansion. The company’s value is highly sensitive to the terminal growth rate, as a substantial portion of the DCF value is derived from the terminal value.